CIA Part 1 – Questions 501–600 (Hard, Wilson-Style)

Engagement Planning, Performing, Communicating, Monitoring & CAE–Board Relations

Study Deck

October 17, 2026

Format

100 new questions (Q501–Q600), none repeated from Q1–Q500.

Focus shift: engagement planning/performing/communicating/monitoring, CAE–board relations, fraud risk assessment, governance, QAIP, workpapers/records.

Style: "which is best," "which is LEAST likely," "MOST likely."

Each: stem + A–D, then a detailed explanation slide.

Q501

Question: Which is the FIRST step in planning an internal audit engagement?

A. Perform substantive testing.

B. Establish the engagement's objectives, scope, and criteria.

C. Issue the final report.

D. Conduct the exit meeting.

Correct Answer: B

Q501 – Explanation

Correct: B. Standard 2200/2201: engagement planning begins with objectives, scope, and criteria.

A wrong: Testing follows planning.

C wrong: The report is the output.

D wrong: The exit meeting occurs near the end.

Q502

Question: Which is the BEST description of "engagement objectives"?

A. What the engagement is intended to achieve.

B. The audit fee.

C. The audit committee's schedule.

D. The marketing plan.

Correct Answer: A

Q502 – Explanation

Correct: A. Objectives define what the engagement is intended to accomplish and guide scope and procedures (Standard 2210).

B wrong: Fees are administrative.

C wrong: Committee schedule is unrelated.

D wrong: Marketing is unrelated.

Q503

Question: Which is the BEST description of "engagement criteria"?

A. The audit fee.

B. The standards, laws, or expectations used to evaluate the condition.

C. The audit committee's schedule.

D. The marketing plan.

Correct Answer: B

Q503 – Explanation

Correct: B. Criteria are what "should be" — the standards against which condition is measured (Standard 2210.A2).

A wrong: Fees are unrelated.

C wrong: Schedule is unrelated.

D wrong: Marketing is unrelated.

Q504

Question: Which is the BEST description of the "engagement work program"?

A. A document listing procedures to achieve engagement objectives.

B. The audit report.

C. The engagement letter.

D. The audit committee minutes.

Correct Answer: A

Q504 – Explanation

Correct: A. The work program lists procedures tailored to the objectives (Standard 2240).

B wrong: The report is an output.

C wrong: The engagement letter is an agreement.

D wrong: Minutes are governance records.

Q505

Question: Which is the MOST appropriate action if the engagement's objectives are unclear?

A. Proceed and refine later.

B. Clarify objectives with the engagement client before proceeding.

C. Skip the engagement.

D. Change the scope randomly.

Correct Answer: B

Q505 – Explanation

Correct: B. Objectives must be clear before fieldwork (Standard 2210).

A wrong: Proceeding without clarity wastes resources.

C wrong: Skipping is unnecessary.

D wrong: Scope should not be changed arbitrarily.

Q506

Question: Which is the BEST description of "engagement scope"?

A. The boundaries of the engagement — what is included and excluded.

B. The audit fee.

C. The audit committee's schedule.

D. The marketing plan.

Correct Answer: A

Q506 – Explanation

Correct: A. Scope defines the boundaries — activities, periods, and locations (Standard 2220).

B wrong: Fees are administrative.

C wrong: Schedule is unrelated.

D wrong: Marketing is unrelated.

Q507

Question: Which is the MOST likely effect of an inadequate engagement risk assessment?

A. A stronger engagement plan.

B. Procedures that miss significant risks and provide weak assurance.

C. Better documentation.

D. Stronger conclusions.

Correct Answer: B

Q507 – Explanation

Correct: B. Without a risk assessment, procedures may miss key risks, weakening assurance (Standard 2201).

A wrong: The plan is weakened, not strengthened.

C wrong: Documentation suffers.

D wrong: Conclusions are less reliable.

Q508

Question: Which is the BEST evidence of proper engagement planning?

A. The final report only.

B. Documented objectives, scope, risk assessment, and work program.

C. The auditee's statement.

D. The budget.

Correct Answer: B

Q508 – Explanation

Correct: B. Planning documentation includes objectives, scope, criteria, risk assessment, and the work program (Standard 2240).

A wrong: The report is an output.

C wrong: Auditee statements are not evidence of planning.

D wrong: The budget is a resource.

Q509

Question: Which is the MOST appropriate way to allocate engagement resources?

A. Randomly.

B. Based on risk and complexity of areas to be audited.

C. Equally across all areas.

D. Based on auditor seniority only.

Correct Answer: B

Q509 – Explanation

Correct: B. Resources should be allocated to higher-risk and more complex areas.

A wrong: Random allocation ignores risk.

C wrong: Equal allocation ignores risk.

D wrong: Seniority alone is not risk-based.

Q510

Question: Which is the MOST appropriate way to test the completeness of payroll?

A. Compare payroll to the budget.

B. Compare the payroll register to active employee and time records.

C. Interview the payroll manager.

D. Review the policy.

Correct Answer: B

Q510 – Explanation

Correct: B. Comparing to employee and time records tests completeness (all employees paid).

A wrong: Budget comparison is not a completeness test.

C wrong: Inquiry alone is weak.

D wrong: Policy review tests design.

Q511

Question: Which is the BEST description of "information gathering" during an engagement?

A. Collecting sufficient, reliable, relevant, and useful information to meet objectives.

B. Collecting any available data.

C. Ignoring evidence that contradicts the audit hypothesis.

D. Gathering only digital data.

Correct Answer: A

Q511 – Explanation

Correct: A. Standard 2310 requires sufficient, reliable, relevant, and useful information.

B wrong: Random data is insufficient.

C wrong: Contradictory evidence must be considered.

D wrong: Evidence types vary.

Q512

Question: Which is the MOST likely reason an auditor would use a workpaper index or cross-reference system?

A. To make workpapers colorful.

B. To organize, reference, and support conclusions in the workpapers.

C. To avoid documenting.

D. To reduce audit fees.

Correct Answer: B

Q512 – Explanation

Correct: B. Indexing and cross-referencing improve organization and support conclusions (Standard 2330).

A wrong: Colors are cosmetic.

C wrong: Documentation is required.

D wrong: Fees are unrelated.

Q513

Question: Which is the BEST description of "sufficiency of evidence"?

A. Quality.

B. Quantity.

C. Timeliness.

D. Relevance.

Correct Answer: B

Q513 – Explanation

Correct: B. Sufficiency = quantity; appropriateness = relevance + reliability.

A wrong: Quality is appropriateness.

C wrong: Timeliness is part of reliability.

D wrong: Relevance is part of appropriateness.

Q514

Question: Which is the BEST description of "workpaper ownership"?

A. The auditee owns the workpapers.

B. The organization owns the workpapers; the auditor ensures safekeeping.

C. The external auditor owns the workpapers.

D. The board owns the workpapers.

Correct Answer: B

Q514 – Explanation

Correct: B. Workpapers belong to the organization; the auditor safeguards them (Standard 2330.A2).

A wrong: The auditee does not own the workpapers.

C wrong: The external auditor does not own internal workpapers.

D wrong: The board oversees but does not own them.

Q515

Question: Which is the MOST appropriate retention period for engagement workpapers?

A. Until the next engagement.

B. As required by organizational policy and legal/regulatory requirements.

C. One week.

D. Forever without review.

Correct Answer: B

Q515 – Explanation

Correct: B. Retention follows organizational policy and legal requirements (Standard 2330.A1).

A wrong: Retention is longer than one cycle.

C wrong: One week is too short.

D wrong: Retention must have a defined policy.

Q516

Question: Which is the MOST appropriate action if the auditor finds a control deficiency during fieldwork?

A. Ignore it until year-end.

B. Communicate it to management on a timely basis.

C. Delete the finding.

D. Wait for the exit meeting to mention it.

Correct Answer: B

Q516 – Explanation

Correct: B. Significant issues should be communicated to management promptly (Standard 2400).

A wrong: Delaying communication is improper.

C wrong: Deleting findings violates the Standards.

D wrong: Significant issues need timely communication, not just at exit.

Q517

Question: Which is the BEST description of "engagement conclusions"?

A. The auditor's judgment based on the evidence gathered.

B. The audit fee.

C. The budget.

D. The marketing plan.

Correct Answer: A

Q517 – Explanation

Correct: A. Conclusions are judgments supported by evidence (Standard 2320).

B wrong: Fees are unrelated.

C wrong: The budget is a resource.

D wrong: Marketing is unrelated.

Q518

Question: Which is the MOST appropriate action if the auditor's conclusion is unsupported by evidence?

A. Keep the conclusion.

B. Obtain additional evidence or revise the conclusion.

C. Delete the workpaper.

D. Ignore the gap.

Correct Answer: B

Q518 – Explanation

Correct: B. Conclusions must be supported; otherwise, obtain more evidence or revise (Standard 2320).

A wrong: Unsupported conclusions violate the Standards.

C wrong: Deleting the workpaper hides the problem.

D wrong: Ignoring the gap is improper.

Q519

Question: Which is the BEST description of "communication quality"?

A. Accurate, objective, clear, concise, constructive, complete, and timely.

B. Long and complex.

C. Only verbal.

D. Only digital.

Correct Answer: A

Q519 – Explanation

Correct: A. Standard 2420 requires accurate, objective, clear, concise, constructive, complete, and timely communications.

B wrong: Length and complexity are not virtues.

C wrong: Communications may be written or verbal.

D wrong: Format is flexible.

Q520

Question: Which is the MOST appropriate action if a communication contains an error after issuance?

A. Ignore it.

B. Issue a corrected communication with explanation.

C. Delete the record.

D. Blame the auditee.

Correct Answer: B

Q520 – Explanation

Correct: B. Errors and omissions should be corrected and communicated (Standard 2430).

A wrong: Ignoring errors is improper.

C wrong: Deleting records is misconduct.

D wrong: Blaming others is improper.

Q521

Question: Which is the BEST description of "dissemination of results"?

A. Sharing results with everyone.

B. Distributing results to appropriate parties as defined by the engagement.

C. Publishing online.

D. Hiding results.

Correct Answer: B

Q521 – Explanation

Correct: B. Standard 2440 requires results be disseminated to appropriate parties.

A wrong: Not everyone needs the results.

C wrong: Publishing may breach confidentiality.

D wrong: Hiding results violates the Standards.

Q522

Question: Which is the MOST appropriate way to follow up on an audit recommendation?

A. Ignore it.

B. Monitor implementation on a risk-based schedule.

C. Wait for the next audit cycle only.

D. Delegate to the auditee without verification.

Correct Answer: B

Q522 – Explanation

Correct: B. Follow-up is risk-based (Standard 2500).

A wrong: Ignoring follow-up violates the Standards.

C wrong: Waiting for the next cycle is too long.

D wrong: Verification is required.

Q523

Question: Which is the MOST likely reason for escalating a follow-up to the board?

A. The issue is trivial.

B. The issue is significant and management has not acted.

C. The auditor is busy.

D. The auditee requested it.

Correct Answer: B

Q523 – Explanation

Correct: B. Significant unresolved issues should be escalated to the board (Standard 2500.A1).

A wrong: Trivial issues are not escalated.

C wrong: Busyness is not a reason.

D wrong: Escalation is based on significance, not request.

Q524

Question: Which is the BEST description of "risk acceptance"?

A. Avoiding all risk.

B. Deciding to retain a risk without further action.

C. Transferring risk.

D. Eliminating risk.

Correct Answer: B

Q524 – Explanation

Correct: B. Acceptance retains risk, typically with monitoring.

A wrong: Avoidance exits the activity.

C wrong: Transfer shifts risk.

D wrong: Elimination is not always possible.

Q525

Question: Which is the MOST appropriate action if management accepts a significant risk the CAE believes is unacceptable?

A. Ignore the issue.

B. Discuss with management; if unresolved, report to the board.

C. Accept the risk.

D. Report to the media.

Correct Answer: B

Q525 – Explanation

Correct: B. Standard 2600: if the CAE believes management accepted a risk beyond tolerance, the matter is reported to the board.

A wrong: Ignoring significant risk is improper.

C wrong: The CAE must not simply accept.

D wrong: Media disclosure is inappropriate.

Q526

Question: Which is the MOST appropriate way for internal audit to assess fraud risk?

A. Ignore fraud risk.

B. Consider incentives, opportunities, and rationalization.

C. Rely on management's assertion.

D. Rely on external audit only.

Correct Answer: B

Q526 – Explanation

Correct: B. The fraud triangle — incentive, opportunity, rationalization — guides fraud risk assessment (Standard 1210.A2, 2200).

A wrong: Ignoring fraud risk violates the Standards.

C wrong: Assertions are not sufficient.

D wrong: Internal audit also assesses fraud risk.

Q527

Question: Which is the MOST likely red flag for procurement fraud?

A. Split purchases to avoid thresholds.

B. Competitive bidding.

C. Documented approvals.

D. Timely payments.

Correct Answer: A

Q527 – Explanation

Correct: A. Splitting purchases to evade approval thresholds is a classic procurement fraud red flag.

B wrong: Competitive bidding is a control.

C wrong: Approvals are positive.

D wrong: Timely payments are positive.

Q528

Question: Which is the BEST description of the auditor's role in fraud investigations?

A. Lead and interrogate suspects.

B. Assess risk and controls; support investigations without assuming management/legal roles.

C. Decide guilt.

D. Impose discipline.

Correct Answer: B

Q528 – Explanation

Correct: B. Internal audit assesses controls and fraud risk; investigations and discipline are management/legal roles.

A wrong: Interrogation is legal/HR's role.

C wrong: Determining guilt is judicial.

D wrong: Discipline is a management function.

Q529

Question: Which is the BEST description of "governance" assessment by internal audit?

A. Reviewing the marketing plan.

B. Evaluating whether governance processes are effective and ethical.

C. Preparing financial statements.

D. Setting strategy.

Correct Answer: B

Q529 – Explanation

Correct: B. Standard 2110 requires internal audit to assess governance and ethics.

A wrong: Marketing is unrelated.

C wrong: Financial statements are management's role.

D wrong: Strategy is management/board's role.

Q530

Question: Which is the MOST appropriate way to assess an organization's ethical climate?

A. Count the code of conduct pages.

B. Review policies, leadership behavior, and reported incidents.

C. Interview the marketing director.

D. Review the budget.

Correct Answer: B

Q530 – Explanation

Correct: B. Ethical climate is assessed through policies, behavior, and incidents.

A wrong: Page count is meaningless.

C wrong: Marketing is unrelated.

D wrong: Budget review is irrelevant.

Q531

Question: Which is the MOST appropriate way to perform an internal QAIP assessment?

A. Ongoing and periodic evaluations of the internal audit activity.

B. Only one-time external reviews.

C. Review of the audit budget only.

D. Random surveys of auditees only.

Correct Answer: A

Q531 – Explanation

Correct: A. Internal assessments are ongoing and periodic (Standard 1311).

B wrong: External reviews are separate.

C wrong: Budget review is not a QAIP.

D wrong: Surveys are one input, not the whole QAIP.

Q532

Question: Which is the MOST appropriate way to select an external quality assessor?

A. A friend of the CAE.

B. A qualified, independent reviewer with no conflict of interest.

C. A member of management.

D. A junior auditor from another department.

Correct Answer: B

Q532 – Explanation

Correct: B. The assessor must be qualified and independent (Standard 1312).

A wrong: Friendship impairs objectivity.

C wrong: Management is not independent.

D wrong: A junior auditor lacks independence and competence.

Q533

Question: Which is the MOST appropriate action if the external assessment finds significant nonconformance?

A. Ignore it.

B. Develop an action plan and report to the board.

C. Hide the results.

D. Blame the assessor.

Correct Answer: B

Q533 – Explanation

Correct: B. Significant nonconformance requires an action plan and reporting to the board (Standard 1320).

A wrong: Ignoring findings violates the Standards.

C wrong: Hiding results is misconduct.

D wrong: Blaming the assessor is improper.

Q534

Question: Which is the BEST description of "conformance" reporting?

A. Reporting the audit fee.

B. Reporting the internal audit activity's conformance with the Standards and Code.

C. Reporting marketing results.

D. Reporting the budget.

Correct Answer: B

Q534 – Explanation

Correct: B. The CAE reports conformance with the Standards and Code to the board (Standard 2430).

A wrong: Fees are unrelated.

C wrong: Marketing is unrelated.

D wrong: The budget is a resource.

Q535

Question: Which is the MOST appropriate action if the auditor is asked to sign a workpaper they did not prepare or review?

A. Sign it.

B. Decline and document the reason.

C. Alter it.

D. Delete it.

Correct Answer: B

Q535 – Explanation

Correct: B. Signing for unperformed work violates integrity and documentation requirements (Standard 2330).

A wrong: Signing without performing is misconduct.

C wrong: Altering workpapers is improper.

D wrong: Deleting them destroys evidence.

Q536

Question: Which is the BEST description of "confidentiality of workpapers"?

A. Workpapers can be shared with anyone.

B. Workpapers should be protected and shared only as authorized.

C. Workpapers should be published.

D. Workpapers belong to the auditor personally.

Correct Answer: B

Q536 – Explanation

Correct: B. Workpapers are confidential and shared only as authorized (Standard 2330.A2).

A wrong: Free sharing breaches confidentiality.

C wrong: Publishing is improper.

D wrong: Workpapers belong to the organization.

Q537

Question: Which is the MOST appropriate way to test a journal entry control?

A. Review the policy.

B. Examine journal entries for unusual users, times, or amounts.

C. Interview the controller.

D. Review the budget.

Correct Answer: B

Q537 – Explanation

Correct: B. Analyzing journal entries for red flags tests the control.

A wrong: Policy review tests design.

C wrong: Inquiry is weak.

D wrong: Budget review is irrelevant.

Q538

Question: Which is the MOST likely effect of a strong control environment on the audit strategy?

A. More substantive testing.

B. More reliance on controls and less substantive testing, though some substantive work remains.

C. No testing.

D. No planning.

Correct Answer: B

Q538 – Explanation

Correct: B. A strong environment supports reliance on controls, but substantive testing remains necessary.

A wrong: Testing may decrease.

C wrong: Some testing is always needed.

D wrong: Planning is always required.

Q539

Question: Which is the BEST description of "reasonable assurance"?

A. Absolute certainty.

B. A high but not absolute level of assurance.

C. No assurance.

D. Management's guarantee.

Correct Answer: B

Q539 – Explanation

Correct: B. Reasonable assurance is high-level, limited by evidence and judgment.

A wrong: Absolute certainty is impossible.

C wrong: It is not zero assurance.

D wrong: Management cannot guarantee.

Q540

Question: Which is the MOST appropriate action if an auditor finds a discrepancy in a workpaper?

A. Ignore it.

B. Investigate, correct, and document the resolution.

C. Delete the workpaper.

D. Blame the auditee.

Correct Answer: B

Q540 – Explanation

Correct: B. Discrepancies must be resolved and documented (Standard 2330).

A wrong: Ignoring discrepancies is improper.

C wrong: Deleting workpapers destroys evidence.

D wrong: Blaming others is unprofessional.

Q541

Question: Which is the BEST description of "engagement risk"?

A. The audit fee.

B. The risk the engagement fails to meet objectives or causes harm.

C. The budget.

D. The marketing plan.

Correct Answer: B

Q541 – Explanation

Correct: B. Engagement risk is the risk of failing to meet objectives or causing harm.

A wrong: Fees are unrelated.

C wrong: The budget is a resource.

D wrong: Marketing is unrelated.

Q542

Question: Which is the MOST appropriate way to test the existence of a receivable?

A. Review the aged trial balance.

B. External confirmation from the customer.

C. Interview the credit manager.

D. Review the sales budget.

Correct Answer: B

Q542 – Explanation

Correct: B. External confirmation is direct third-party evidence of existence.

A wrong: Trial balance is internal.

C wrong: Inquiry is weak.

D wrong: Budgets are not existence evidence.

Q543

Question: Which is the MOST appropriate way to communicate a significant control deficiency to the board?

A. Send it casually.

B. Communicate promptly in writing as required, with sufficient detail.

C. Wait until the annual report.

D. Share it only with staff.

Correct Answer: B

Q543 – Explanation

Correct: B. Significant deficiencies are communicated promptly and in writing (Standard 2400/2600).

A wrong: Casual communication is insufficient.

C wrong: Waiting delays action.

D wrong: The board must know.

Q544

Question: Which is the BEST description of "audit follow-up"?

A. Monitoring whether management implemented corrective actions.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q544 – Explanation

Correct: A. Follow-up monitors implementation of actions (Standard 2500).

B wrong: The report is an output.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q545

Question: Which is the MOST appropriate way to assess the adequacy of the internal audit function's resources?

A. Count auditors.

B. Assess whether resources are sufficient to achieve the audit plan and mandate.

C. Review the budget only.

D. Interview the CEO.

Correct Answer: B

Q545 – Explanation

Correct: B. Resource adequacy is measured by the ability to achieve the plan and mandate (Standard 2030).

A wrong: Headcount alone is insufficient.

C wrong: Budget alone is not adequacy.

D wrong: CEO input is not assessment.

Q546

Question: Which is the BEST description of "audit committee" oversight of internal audit?

A. It performs audits.

B. It oversees the internal audit function's independence, performance, and results.

C. It writes workpapers.

D. It sets the audit fee.

Correct Answer: B

Q546 – Explanation

Correct: B. The audit committee oversees independence, performance, and results.

A wrong: Internal audit performs audits.

C wrong: Workpapers are internal audit's.

D wrong: Fees are administrative.

Q547

Question: Which is the MOST appropriate way to test the completeness of recorded liabilities?

A. Vouch from the ledger to invoices.

B. Trace from receiving reports and invoices to the ledger.

C. Confirm payables.

D. Review the budget.

Correct Answer: B

Q547 – Explanation

Correct: B. Tracing from source to ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Confirmations test existence.

D wrong: Budgets are not evidence.

Q548

Question: Which is the MOST likely effect of a strong internal audit function on governance?

A. It weakens governance.

B. It strengthens governance through independent assurance and advice.

C. It has no effect.

D. It replaces the board.

Correct Answer: B

Q548 – Explanation

Correct: B. Internal audit strengthens governance via assurance and advice.

A wrong: It strengthens, not weakens.

C wrong: It has a significant effect.

D wrong: It does not replace the board.

Q549

Question: Which is the BEST description of the "audit program"?

A. A document listing procedures to achieve engagement objectives.

B. The audit report.

C. The engagement letter.

D. The audit committee minutes.

Correct Answer: A

Q549 – Explanation

Correct: A. The audit program lists procedures tailored to objectives (Standard 2240).

B wrong: The report is an output.

C wrong: The engagement letter is an agreement.

D wrong: Minutes are governance records.

Q550

Question: Which is the MOST appropriate way to test the accuracy of a vendor invoice before payment?

A. A single signature.

B. A three-way match (PO, receipt, invoice).

C. A phone call.

D. A budget review.

Correct Answer: B

Q550 – Explanation

Correct: B. The three-way match verifies quantity, price, and receipt.

A wrong: A single signature is weak.

C wrong: A phone call is not structured.

D wrong: Budget review is not verification.

Q551

Question: Which is the BEST description of "materiality"?

A. A fixed percentage.

B. The magnitude of an omission or misstatement that would influence a reasonable user.

C. The audit fee.

D. The budget.

Correct Answer: B

Q551 – Explanation

Correct: B. Materiality is a judgment about influence on users.

A wrong: No fixed percentage applies.

C wrong: Fees are unrelated.

D wrong: The budget is a resource.

Q552

Question: Which is the MOST appropriate action if the auditor discovers the auditee has destroyed evidence?

A. Reconstruct it yourself.

B. Document the destruction and notify legal/board.

C. Ignore it.

D. Confront the auditee aggressively.

Correct Answer: B

Q552 – Explanation

Correct: B. Spoliation may be illegal; document and escalate.

A wrong: Reconstruction may be impossible.

C wrong: Ignoring is improper.

D wrong: Aggressive confrontation may escalate risk.

Q553

Question: Which is the BEST description of "control deficiency"?

A. A costly control.

B. A missing or ineffective control that fails to prevent or detect misstatement timely.

C. An undocumented control.

D. A control owned by IT.

Correct Answer: B

Q553 – Explanation

Correct: B. A deficiency exists when a control is missing or ineffective.

A wrong: Cost is not a deficiency.

C wrong: Documentation gaps are one type.

D wrong: Ownership does not determine deficiency.

Q554

Question: Which is the MOST appropriate way to test access controls in an ERP system?

A. Review the IT budget.

B. Examine user access logs and roles against the access matrix.

C. Interview the CIO.

D. Review the firewall policy only.

Correct Answer: B

Q554 – Explanation

Correct: B. Comparing access to the matrix tests access control.

A wrong: Budget review is not a test.

C wrong: Inquiry alone is weak.

D wrong: Firewall policy is only one piece.

Q555

Question: Which is the BEST description of "material weakness"?

A. A minor deficiency.

B. A deficiency or combination creating a reasonable possibility of material misstatement.

C. A documentation gap.

D. A training need.

Correct Answer: B

Q555 – Explanation

Correct: B. A material weakness creates a reasonable possibility of material misstatement.

A wrong: Minor deficiencies are less severe.

C wrong: Documentation gaps may not be material.

D wrong: Training needs are not the definition.

Q556

Question: Which is the MOST appropriate way to test the accuracy of a vendor invoice before payment?

A. A single signature.

B. A three-way match (PO, receipt, invoice).

C. A phone call.

D. A budget review.

Correct Answer: B

Q556 – Explanation

Correct: B. The three-way match verifies quantity, price, and receipt.

A wrong: A single signature is weak.

C wrong: A phone call is not structured.

D wrong: Budget review is not verification.

Q557

Question: Which is the MOST appropriate action if the auditor finds evidence of management override?

A. Ignore it.

B. Increase substantive testing and report the finding.

C. Reduce testing.

D. Rely on management.

Correct Answer: B

Q557 – Explanation

Correct: B. Override risk increases substantive testing and must be reported.

A wrong: Ignoring override is improper.

C wrong: Testing should increase.

D wrong: Reliance on management is inappropriate.

Q558

Question: Which is the BEST description of "reasonable assurance"?

A. Absolute certainty.

B. A high but not absolute level of assurance.

C. No assurance.

D. Management's guarantee.

Correct Answer: B

Q558 – Explanation

Correct: B. Reasonable assurance is high-level, limited by evidence and judgment.

A wrong: Absolute certainty is impossible.

C wrong: It is not zero assurance.

D wrong: Management cannot guarantee.

Q559

Question: Which is the MOST appropriate way to handle a suspected fraud?

A. Investigate personally.

B. Notify appropriate authorities and recommend investigation.

C. Ignore it until year-end.

D. Destroy evidence.

Correct Answer: B

Q559 – Explanation

Correct: B. Internal audit identifies and reports fraud indicators; investigation is management/legal's role.

A wrong: Personal investigation may compromise evidence.

C wrong: Delay allows fraud to continue.

D wrong: Destroying evidence is illegal.

Q560

Question: Which is the BEST description of "control environment"?

A. The IT firewall.

B. The tone of the organization regarding ethics and control.

C. The audit plan.

D. The external audit opinion.

Correct Answer: B

Q560 – Explanation

Correct: B. The control environment is the tone at the top.

A wrong: Firewalls are control activities.

C wrong: The plan is a tool.

D wrong: The external opinion is unrelated.

Q561

Question: Which is the MOST appropriate way to handle a request to audit a process the auditor previously managed?

A. Proceed.

B. Disclose and request reassignment.

C. Proceed with a smaller sample.

D. Ignore the prior role.

Correct Answer: B

Q561 – Explanation

Correct: B. Prior responsibility impairs objectivity; disclose and reassign (Standard 1130).

A wrong: Proceeding violates objectivity.

C wrong: Smaller samples do not cure bias.

D wrong: Prior roles cannot be ignored.

Q562

Question: Which is the BEST evidence of the existence of inventory?

A. The perpetual records.

B. Physical observation of the count.

C. Interview the warehouse manager.

D. Review the purchase budget.

Correct Answer: B

Q562 – Explanation

Correct: B. Direct observation is the strongest evidence of existence.

A wrong: Records are internal.

C wrong: Inquiry is weak.

D wrong: Budgets are not existence evidence.

Q563

Question: Which is the BEST description of "residual risk"?

A. Risk before controls.

B. Risk remaining after controls.

C. Audit risk.

D. Inherent risk.

Correct Answer: B

Q563 – Explanation

Correct: B. Residual risk is what remains after controls.

A wrong: That is inherent risk.

C wrong: Audit risk is the auditor's risk.

D wrong: Inherent risk is before controls.

Q564

Question: Which is the MOST appropriate way to coordinate with external audit?

A. Share all workpapers freely.

B. Coordinate timing and scope while maintaining independence.

C. Let external audit direct internal audit.

D. Avoid contact.

Correct Answer: B

Q564 – Explanation

Correct: B. Coordination improves efficiency but preserves independence.

A wrong: Unrestricted sharing may breach confidentiality.

C wrong: External audit does not direct internal audit.

D wrong: Avoidance wastes benefits.

Q565

Question: Which is the BEST description of "fraud triangle"?

A. Risk, control, detection.

B. Pressure, opportunity, rationalization.

C. Plan, do, check.

D. Cash, inventory, receivables.

Correct Answer: B

Q565 – Explanation

Correct: B. Cressey's triangle: pressure, opportunity, rationalization.

A wrong: That is the audit risk model.

C wrong: That is PDCA.

D wrong: Those are accounts.

Q566

Question: Which is the MOST appropriate way to test segregation of duties?

A. Observe one transaction.

B. Examine system access rights and user roles.

C. Interview the manager.

D. Review the org chart.

Correct Answer: B

Q566 – Explanation

Correct: B. Access rights and roles show whether incompatible duties are separated.

A wrong: One observation is limited.

C wrong: Inquiry is weak.

D wrong: The org chart does not reflect system access.

Q567

Question: Which is the BEST description of "inherent risk"?

A. Risk after controls.

B. Risk before considering controls.

C. Risk the auditor misses.

D. Risk of fraud.

Correct Answer: B

Q567 – Explanation

Correct: B. Inherent risk is assessed before controls.

A wrong: After controls is residual risk.

C wrong: Auditor misses are detection risk.

D wrong: Fraud is a source of risk.

Q568

Question: Which is the BEST description of "detection risk"?

A. Risk the auditor fails to detect a misstatement.

B. Risk the control fails.

C. Risk before controls.

D. Risk of fraud.

Correct Answer: A

Q568 – Explanation

Correct: A. Detection risk is the auditor's risk that procedures fail to detect misstatement.

B wrong: That is control risk.

C wrong: That is inherent risk.

D wrong: Fraud is a source of risk.

Q569

Question: Which is the MOST appropriate way to test a reconciliation control?

A. Review the policy.

B. Re-perform the reconciliation and investigate differences.

C. Interview the preparer.

D. Review the budget.

Correct Answer: B

Q569 – Explanation

Correct: B. Re-performing the reconciliation tests whether it operates.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q570

Question: Which is the BEST description of "materiality"?

A. A fixed percentage.

B. The magnitude of an omission or misstatement that would influence a reasonable user.

C. The audit fee.

D. The budget.

Correct Answer: B

Q570 – Explanation

Correct: B. Materiality is a judgment about influence on users.

A wrong: No fixed percentage applies.

C wrong: Fees are unrelated.

D wrong: The budget is a resource.

Q571

Question: Which is the MOST appropriate action if the auditor discovers a conflict of interest involving a senior official?

A. Ignore it.

B. Document and report through appropriate channels.

C. Confront the official directly.

D. Discuss with the media.

Correct Answer: B

Q571 – Explanation

Correct: B. Document and report through proper channels.

A wrong: Ignoring conflicts is improper.

C wrong: Direct confrontation may compromise the investigation.

D wrong: Media disclosure is inappropriate.

Q572

Question: Which is the BEST description of "cyber hygiene"?

A. Marketing strategy.

B. Basic security practices like patching, backups, and access control.

C. The audit report.

D. The budget.

Correct Answer: B

Q572 – Explanation

Correct: B. Cyber hygiene includes patching, backups, and access control.

A wrong: Marketing is unrelated.

C wrong: The report is an output.

D wrong: The budget is a resource.

Q573

Question: Which is the MOST appropriate way to test the completeness of fixed asset additions?

A. Trace from the ledger to invoices.

B. Trace from receiving reports and invoices to the ledger.

C. Review the budget.

D. Interview the controller.

Correct Answer: B

Q573 – Explanation

Correct: B. Tracing from source to ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry is weak.

Q574

Question: Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

Correct Answer: B

Q574 – Explanation

Correct: B. Data governance manages data quality, security, and use.

A wrong: Marketing is unrelated.

C wrong: The report is an output.

D wrong: The budget is a resource.

Q575

Question: Which is the MOST likely effect of a data breach?

A. Increased revenue.

B. Reputational damage, legal liability, and financial loss.

C. Stronger controls.

D. Better marketing.

Correct Answer: B

Q575 – Explanation

Correct: B. Breaches cause reputational, legal, and financial harm.

A wrong: Revenue does not increase.

C wrong: Controls may be questioned.

D wrong: Marketing is unrelated.

Q576

Question: Which is the BEST way to test the completeness of IT change logs?

A. Review the policy.

B. Compare change logs to deployment records and approvals.

C. Interview the IT director.

D. Review the budget.

Correct Answer: B

Q576 – Explanation

Correct: B. Comparing logs to deployment records tests completeness.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q577

Question: An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q577 – Explanation

Correct: B. Non-competitive awards to related parties are a red flag.

A wrong: Competitive bidding is a control.

C wrong: Documented approvals are positive.

D wrong: Timely payment is positive.

Q578

Question: Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

Correct Answer: B

Q578 – Explanation

Correct: B. An audit trail records transactions chronologically.

A wrong: Marketing is unrelated.

C wrong: The budget is a resource.

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Q579

Question: Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q579 – Explanation

Correct: B. Spreadsheets have higher error/manipulation risk and weak audit trails.

A wrong: Controls may be weaker.

C wrong: Speed is not a control benefit.

D wrong: Documentation may be weaker.

Q580

Question: An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q580 – Explanation

Correct: B. Inspecting the covenant and recomputing ratios tests compliance.

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End

End of Questions 501–600

Review, repeat, and mark weak areas.

Add more questions by copying the Q/Explanation frame pairs.